

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:

Section A: answer Question 1.

Section B: answer **one** question.

Section C: answer **one** question.

- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is **60**.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 How can coffee farmers in Brazil be protected from falling global prices?

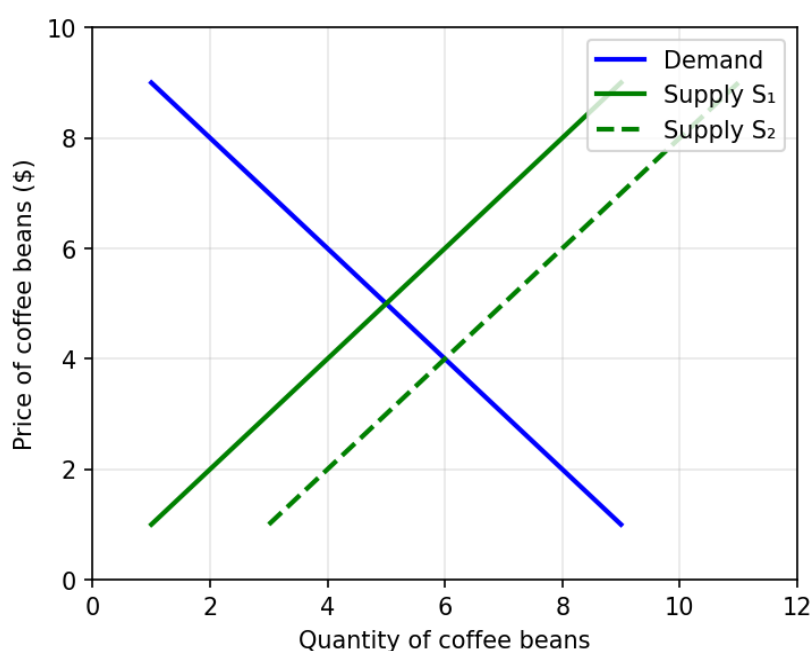
Coffee is one of the world's most traded commodities. Brazil is the world's largest producer of coffee beans, accounting for around 35% of global production. The livelihoods of millions of small-scale farmers depend on coffee exports. In 2024, favourable weather conditions and increased planting led to a record global harvest. However, coffee farmers in Brazil have reported that their incomes have fallen because global prices declined sharply. The price elasticity of demand (PED) for coffee is estimated at -0.3 and demand has been growing slowly in recent years. The Brazilian government is now considering different policies to support farmers, including subsidies, minimum prices, and encouraging diversification into other agricultural products. Some commentators argue that the long-term solution is to add more value domestically by processing coffee beans rather than exporting raw beans.

Source: Adapted from financial news, 2024

Table 1.1: Global coffee market data

Year	Global production (million 60-kg bags)	Global sales value (\$ billion)	Average price per kg (\$)
2018	170	100	3.20
2020	175	115	3.50
2022	180	125	4.10
2024	195	132	3.80

Fig. 1.1: The market for coffee beans



(a) (i) Identify **one** possible reason for the value of price elasticity of demand (PED) for coffee. [1]

(ii) Calculate the percentage change in the value of global sales of coffee between 2018 and 2024, as shown in Table 1.1. [1]

- (b)** With the help of a demand and supply diagram, demonstrate why global coffee prices fell in 2024 despite increased demand. **[2]**
- (c)** Consider whether a maximum price set by the government on coffee beans would benefit consumers. **[4]**
- (d)** Assess the extent to which providing subsidies to coffee farmers would be the best way to ensure stable farmer incomes. **[6]**
- (e)** Assess the advantages and disadvantages of Brazil continuing to specialise in the production and export of coffee beans. **[6]**

Section B

Answer **one** question.

EITHER

2 (a) With the help of a diagram, explain the difference between an extension/contraction in demand and a shift of the demand curve **and** consider the extent to which a fall in the price of a good will always increase total revenue. **[8]**

(b) Assess the view that price elasticity of demand is more important than price elasticity of supply when a government introduces an indirect tax on a good. **[12]**

OR

3 (a) With the help of a diagram, explain the difference between scarcity and choice **and** consider whether all economic resources have an opportunity cost. **[8]**

(b) Assess the extent to which the division of labour always leads to increased productivity in an economy. **[12]**

Section C

Answer **one** question.

EITHER

4 (a) Explain the difference between absolute advantage and comparative advantage **and** consider whether free international trade is always beneficial for a country. [8]

(b) Assess whether the use of tariffs is the most effective method of correcting a trade deficit. [12]

OR

5 (a) With the help of an aggregate demand and aggregate supply (AD/AS) diagram, explain two possible causes of unemployment **and** consider the extent to which unemployment is always damaging to an economy. [8]

(b) Assess the view that demand-side policies are more effective than supply-side policies in reducing the rate of unemployment. [12]